

If the spread can cover and exceed the expected event risk, arbitrage trades are executed (Anson, 2008). If the merger is successful the target stock price will converge to the offered consideration, thus the arbitrageurs will earn initial spreads from the day the long-short positions were taken (another relative-value strategy). However, if the merger fails arbitrage performance is correlated to the performance of the individual long-short positions. Clearly, predicting merger success is the most important factor for merger arbitrageurs (Baker and Savaşoglu, 2002; Mitchell, 2001). The three key components of merger information for merger arbitrage success: firm/deal information, market price information and risk arbitrageur information (Branch and Yang, 2003).

Examining the purchase of MCI Corporation by Verizon Communications as detailed by Anson (2008), we can understand the dynamics of merger arbitrage. Verizon was locked in a bidding war with QWest Communications for the purchase of MCI through 2005 with Verizon finally coming out on top with a purchase price of \$8.44 billion. At the announcement of its intention, the Verizon arbitrage trade was:

- Sell 1000 shares of Verizon at \$36.
- Buy 1000 shares of MCI at \$20.

While for QWest the arbitrage trade was:

- Sell 1000 shares of QWest at \$4.20.
- Buy 1000 shares of MCI at \$20.

Verizon and QWest competed for MCI with Verizon winning in October 2005. By then, MCI was trading at \$25.50, Verizon had lost value and was trading at \$30, and QWest was unchanged. The total return for the MCI/Verizon merger arbitrage trade:

Long MCI gain	$1000 \times (\$25.50 - \$20)$	= \$5500
Short Verizon gain	$1000 \times (\$36 - \$30)$	= \$6000
Short rebate interest	$4\% \times 1000 \times \$36 \times 240/360$	= \$960
Total		= \$12,460

The return on investment is: $\$12,460 \div \$20,000 = 62.3\%$. Similarly, for the MCI/QWest merger arbitrage trade:

Long MCI gain	$1000 \times (\$25.50 - \$20)$	= \$5500
Short QWest gain	$1000 \times (\$4.20 - \$4.20)$	= \$0
Short rebate interest	$4\% \times 1000 \times \$4.20 \times 240/360$	= \$112
Total		= \$5612